

NIO INC. (NIO/9866.HK)

Industry-leading growth & premium margin profile with attractive valuation; upgrade to Buy from Neutral

We upgrade Nio to Buy with 12-month DCF-based target prices of US\$7.0/HK\$55, implying 46%/42% upside potential. Among our coverage, **we expect Nio to not only deliver one of the fastest volume growth, but also a premium margin profile and strong profit/FCF turn-around in 2026E**. This is supported by the company's successful turnaround with the launch of new ES8/ES9 (gaining No.1 position with 39% market share in the Rmb400k+ NEV segment), together with leading brand power (evidenced by top Net Promoter Score), strengthening its position in the premium NEV market, which we believe creates a higher competitive moat and is more difficult to displace by competitors. Looking ahead, we believe the company can apply similar strategy to its 5 series and 6 series models (priced between Rmb200k-400k) and rejuvenate the sales volume of these models in 2027E and beyond, further solidifying its positioning in the premium market and driving continued market share gain.

Despite the domestic NEV market growth of -14% yoy in 1H26, Nio expanded its volume by +67% yoy. For 2026E full year, we model volume/revenue growth of +43%/+60% yoy, and non-GAAP net profit of Rmb1.6bn (vs. loss of Rmb12.4bn in 2025), we also expect free cash flow to meaningfully improve from Rmb-3.1bn in 2025 to Rmb12.1bn in 2026E. However, **shares are down -6% YTD and -32% from its recent peak in Apr 2026, which is disconnected from the companies improving fundamentals, in our view**. Compared with pure-NEV peers under our coverage, **Nio is also trading at a 25%/29% discount on 2026E/27E P/S and 17% discount on 2027E P/E**, which we see as attractive given its near term product momentum and strong growth. Catalysts include ramp-up for ES8 five-seater version delivery, profit improvement in earnings results.

Where are we different: Our 2026E-2028E earnings estimate are 30% above Visible Alpha consensus (partly due to low base), mainly on higher revenue and lower opex as we believe the company's premium brand power could support more stabilized pricing and more efficient marketing spending going forward.

Estimates and TP changes: We raise our 2026E-2028E earnings estimates by 1%-9%, mainly on higher gross margin from strong sales of ES8/ES9. Accordingly, our 12-month DCF-based target prices increase by 6% to US\$7.0/HK\$55, implying 46%/42% upside potential. We upgrade Nio to Buy (from Neutral). Risks: lower sales volume, exacerbated price competition, higher cost inflation.

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Exhibit 1: Nio financial summary

Profit model (Rmb mn)	12/25	12/26E	12/27E	12/28E	Balance sheet (Rmb mn)	12/25	12/26E	12/27E	12/28E
Total revenue	87,488	140,339	163,491	175,745	Cash & equivalents	45,776	57,867	66,205	73,254
Cost of goods sold	(75,572)	(115,670)	(133,960)	(143,817)	Accounts receivable	17,473	25,498	26,758	25,595
SG&A	(16,088)	(15,588)	(17,388)	(18,688)	Inventory	8,531	12,347	13,477	13,586
R&D	(10,605)	(10,130)	(10,130)	(10,130)	Other current assets	4,854	4,854	4,854	4,854
Other operating profit/(expense)	736	736	736	736	Total current assets	76,633	100,566	111,294	117,289
EBITDA	(6,895)	7,874	12,008	14,108	Net PP&E	25,828	24,757	21,715	17,722
Depreciation & amortization	7,147	8,186	9,258	10,262	Net intangibles	226	221	216	210
EBIT	(14,041)	(312)	2,749	3,846	Investments in securities	2,481	2,561	2,601	2,621
Interest income	762	718	908	1,039	Other long-term assets	19,233	19,233	19,233	19,233
Interest expense	(885)	(792)	(792)	(792)	Total assets	124,401	147,339	155,058	157,075
Income/(loss) from uncons. subs.	(1,092)	80	40	20	Accounts payable	53,936	75,265	78,724	75,455
Other non-ops income/(expense)	436	125	-	-	Short-term loans	6,856	6,856	6,856	6,856
Pretax profits	(14,821)	(181)	2,905	4,113	Current lease liabilities	1,619	342	257	260
Income tax	(122)	(1)	(436)	(617)	Other current liabilities	16,172	17,449	17,534	17,531
Minorities	(18)	(0)	4	5	Total current liabilities	78,583	99,912	103,371	100,102
					Long-term debt	8,626	8,626	8,626	8,626
Net income (Non-GAAP)	(12,432)	1,608	4,264	5,291	Non-current lease liabilities	10,092	3,388	2,546	2,577
					Other long-term liabilities	14,408	21,111	21,954	21,923
Earnings per ADS-basic (Non-GAAP)	(5.47)	0.71	1.88	2.33	Total liabilities	111,709	133,038	136,497	133,228
DPS	-	-	-	-					
					Preferred shares	8,552	8,552	8,552	8,552
Growth & margins (%)	12/25	12/26E	12/27E	12/28E	Total common equity	4,159	5,768	10,031	15,323
Sales growth	33.1%	60.4%	16.5%	7.5%	Minority interest	(19)	(19)	(22)	(27)
EBITDA growth	56.9%	214.2%	52.5%	17.5%	Total liabilities & equity	124,401	147,339	155,058	157,075
EBIT growth	35.8%	97.8%	980.7%	39.9%					
Net income growth	39.0%	112.9%	165.1%	24.1%	BVPS	1.8	2.5	4.4	6.7
Gross margin	13.6%	17.6%	18.1%	18.2%					
EBITDA margin	-7.9%	5.6%	7.3%	8.0%	Ratios	12/25	12/26E	12/27E	12/28E
EBIT margin	-16.0%	-0.2%	1.7%	2.2%	ROIC	NM	NM	NM	NM
Non-GAAP net margin	-14.2%	1.1%	2.6%	3.0%	ROE	NM	NM	NM	NM
					ROA	NM	NM	NM	NM
Cash flow statement (Rmb mn)	12/25	12/26E	12/27E	12/28E	Inventory days	43.7	41.2	39.0	36.7
Net income pre-preferred dividends	(14,961)	(183)	2,473	3,501	Receivables days	52.1	72.9	66.3	59.7
D&A add-back	7,147	8,186	9,258	10,262	Payable days	214.4	260.5	237.5	214.5
Minorities interests add-back	18	0	(4)	(5)	Total liability to asset	87.4%	89.8%	90.3%	88.0%
Net (inc)/dec working capital	15,434	9,487	1,070	(2,216)					
Other operating cash flow	453	2,986	(4,262)	3,868	Valuation	12/25	12/26E	12/27E	12/28E
Cash flow from operations	2,993	19,201	14,548	13,313	Target price implied valuation				
					P/E	(9.1)	70.7	26.7	21.5
Capital expenditures	(6,065)	(7,110)	(6,211)	(6,264)	P/S	1.3	0.8	0.7	0.6
Acquisitions	(6,362)	-	-	-	P/B	9.0	8.0	6.2	4.8
Divestitures	-	-	-	-	EV/EBITDA	NM	NM	NM	NM
Others	967	-	-	-					
Cash flow from investments	(11,460)	(7,110)	(6,211)	(6,264)	Current share price implied valuation				
					P/E	(6.2)	48.3	18.2	14.7
Dividends paid (common & pref)	-	-	-	-	P/S	0.9	0.6	0.5	0.4
Inc/(dec) in debt	(5,461)	-	-	-	P/B	6.1	5.4	4.2	3.3
Common stock issuance (repurchase)	11,855	-	-	-	EV/EBITDA	NM	NM	NM	NM
Other financing cash flows	435	-	-	-					
Cash flow from financing	6,828	-	-	-					
Total cash flow	(1,639)	12,091	8,338	7,049					

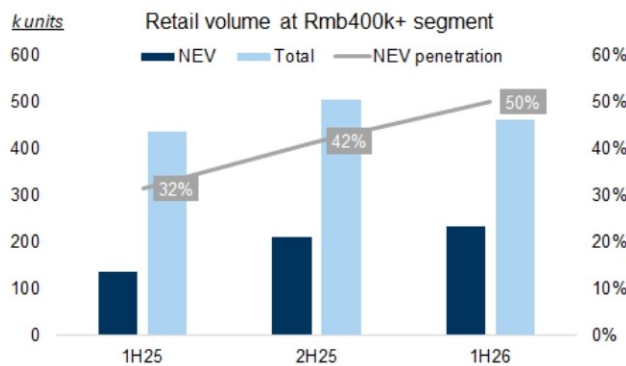
Source: Company data, Goldman Sachs Global Investment Research

(1) Successful turn-around with ES8/ES9

NIO has started to successfully refresh its product lineup since Sep 2025, highlighted by the launch and delivery of the All-New ES8 with LTM monthly sales volume of 10k+ as of June 2026, ranking No.1 among Rmb400k+ SUV segment. Following the launch of ES9 and L80 in May 2026, Nio delivered 191k units in 1H26 (+67% yoy, vs. industry NEV retail at -14%) and expanded its NEV retail market share to 3.6% in 1H26 (vs. 2.1% in 1H25). As of 1H26, the Nio brand has gained No.1 position with 39% market share in the Rmb400k+ segment.

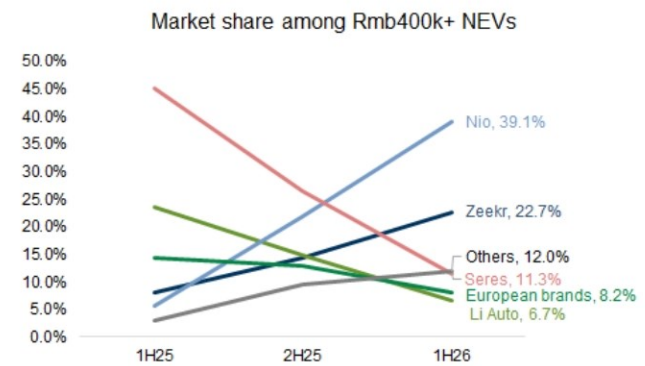
We observe that Nio has shown consistent capability to launch more competitive models over the past four quarters, based on our product comparison framework, which identifies 4 key consumer purchasing factors, i.e. price, range, size, and autopilot. Based on our product comp analysis among Rmb400k+ top selling NEV SUVs/MPVs, we see **Nio's ES8 and ES9** both rank top5 among the best-selling models (esp. ES8 ranking No.1), with competitive strengths in price and size ([Exhibit 4](#)).

Exhibit 2: NEV penetration reached 50% in 1H26, among Rmb400k price segment



Source: CPCA

Exhibit 3: Nio's market share increased to 39% in 1H26 from 6% in 1H25, among NEV Rmb400k+ price segment



Source: CPCA

Exhibit 4: Nio ES8/ES9 product comps

Top 10 best-selling NEV SUVs/MPVs (MSRP Rmb400k+)											
OEM Model	NIO Nio ES8 EV	Geely Zeekr 9X PHEV	Seres Aito M9 EREV	Nio Nio ES9 EV	Volvo Volvo XC70 PHEV	Li Auto Li L9 EREV	SAIC Encasa PHEV	Li Auto Li MEGA EV	Volvo Zeekr 009 EV	Seres Aito M9 EV	
Model launch date (latest facelift entry level)	Sep-25	Sep-25	Mar-25	May-26	Apr-26	May-25	Dec-25	Apr-25	Jul-24	Mar-25	
Body type	SUV	SUV	SUV	SUV	SUV	SUV	MPV	MPV	MPV	SUV	
Segment	D	D	D	D	C	D	C	D	C	D	
Seat	6/7	6	5/6	6-Jan	5	6	7	7	7	6	
Powertrain	BEV	PHEV	EREV	BEV	PHEV	EREV	PHEV	BEV	BEV	EREV	
Entry price (Rmb k)	406.8	465.9	469.8	498.0	411.9	409.8	439.9	529.8	439.0	509.8	
Max driving range (km)	635	1,200	1,474	620	1,203	1,412	1,320	710	740	630	
Wheelbase (mm)	3,130	3,169	3,110	3,250	2,895	3,105	3,160	3,300	3,205	3,110	
0-100km/h acceleration time (s)	3.97	3.9	4.9	4.3	8	5.18	5.8	5.5	6.9	4.3	
Battery size (kWh)	102.0	55.0	52.0	102.0	21.2	52.3	40.9	102.7	108.0	100	
Charging speed (kW/h/min)		3.7	1.0		0.4	1.2	1.0	6.0	5.7	3.3	
Continuous voice command	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	
Software Highway autopilot	Optional	Standard	Standard	Optional	Optional	Standard	Standard	Standard	Optional	Standard	
Urban autopilot	Optional	Standard	Optional	Optional	Optional	Optional	Standard	Standard	None	Optional	
Price score	10	5	4	3	8	9	6	1	7	2	
Range score	3	6	10	1	7	9	8	4	5	2	
Size score	5	7	3	9	1	2	6	10	8	3	
Autopilot score	2	4	3	2	2	3	4	4	1	3	
Sub-total score	20	22	20	15	18	23	24	19	21	10	
Average monthly sales volume (LTM)	10,187	6,778	5,853	5,852	3,160	2,615	1,739	1,298	1,276	991	
Peak monthly sales volume (LTM)	22,258	10,060	15,945	8,595	5,354	14,913	3,154	3,277	4,201	2,700	
Lifetime sales volume	193,964	67,782	265,912	11,703	28,438	297,188	13,911	32,182	68,449	34,694	

Source: CPCA, Dongchedi, Goldman Sachs Global Investment Research

(2) Strong brand power creates higher competitive moat

Additionally, according to the Net Promoter Score (NPS) surveyed by JLL, Nio brand is ranking No.1 and Firefly brand is ranking No.2 among all brands in the China market as of

1H26 (Exhibit 5), mainly thanks to 1) product experience, sales and delivery services and after-sales services for Nio brand, and 2) more balanced strengths in product quality, brand and services for Firefly brand. Nio's ES8 also ranked No.2 among D-segment SUVs in terms of NPS as of 1H26 (Exhibit 6), reflecting high satisfaction ratings from consumers for this model. We believe this is a reflection of Nio's strong foothold in the premium segment, supported not only by its products but also services. We expect this strong brand equity will create a higher competitive moat and could be more difficult to displace by competitors.

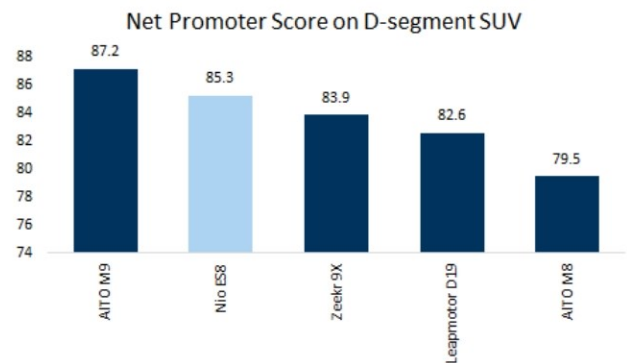
Looking ahead, we believe the company can apply similar strategy to its 5 series and 6 series models (priced between Rmb200k-400k) and rejuvenate the sales volume of these models in 2027E and beyond, further solidifying its positioning in the premium market and driving continued market share gain.

Exhibit 5: Nio and Firefly brands ranked No.1 and No.2 in terms of Net Promoter Score
As of 1H26



Source: JLL

Exhibit 6: Nio ES8 ranked No.2 among D-segment SUV in terms of Net Promoter Score



Source: JLL

Exhibit 7: Nio's multi-brand strategy in different price range

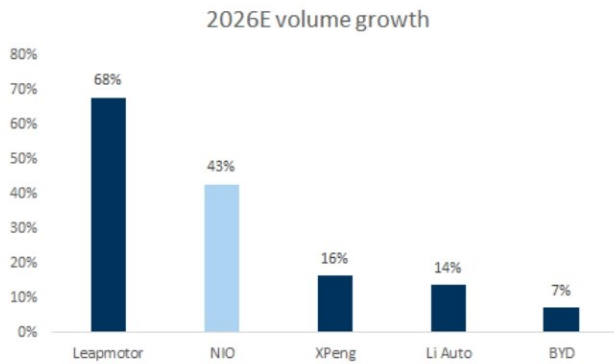
Price range	Nio brand	ONVO	Firefly	Nio brand	ONVO	Firefly	Total
Rmb100-150k			Firefly			1	1
Rmb200k-300k	ET5, ET5T	L60, L80, L90		2	3		5
Rmb300k-400k	EC6, ES6			2			2
Rmb400k+	ES9, ES8, ES7, ET9, ET7, EC7			6			6

Source: Company data

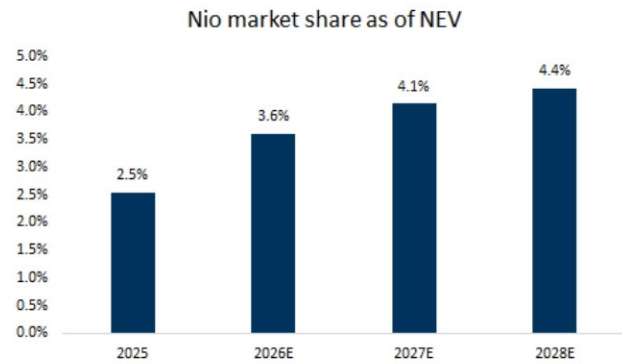
(3) Industry leading growth with premium margin profiles

Among our coverage, we expect Nio to not only deliver one of the fastest volume growth, but also a premium margin profile and strong profitability turn-around in 2026E.

Volume: we forecast Nio to achieve 43% volume growth in 2026E (vs. industry NEV domestic retail volume +1% yoy), mainly driven by competitive new model launches with timely delivery ramp-up. Beyond 2026E, we believe the company can continue to gain market share in the domestic market with 19%/11%% volume growth in 2027E/2028E vs. NEV industry growth at 3%/4%, as the company revamps 5 and 6 series models to rejuvenate their sales volume.

Exhibit 8: Volume growth in 2026E

Source: Goldman Sachs Global Investment Research

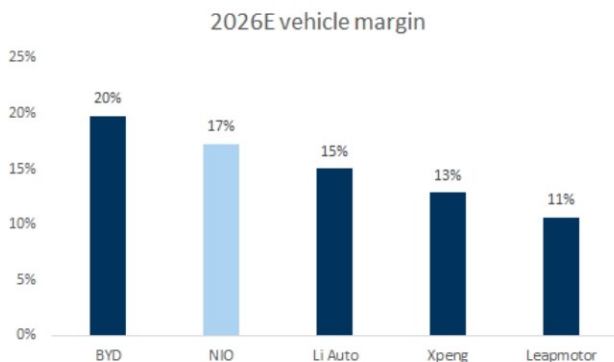
Exhibit 9: We expect Nio to gain market share in China NEV market going forward

Source: Company data, CPCA, Goldman Sachs Global Investment Research

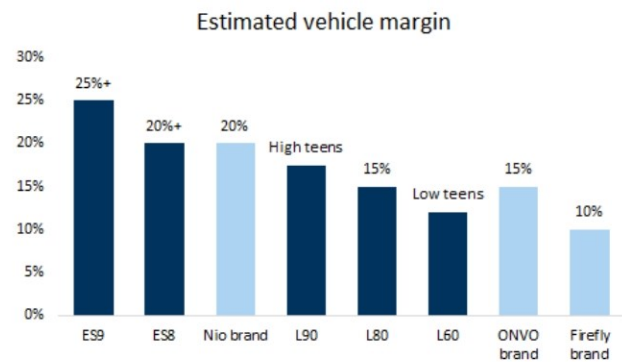
Vehicle gross margin: we expect Nio to deliver one of the highest vehicle gross margin at 17% in 2026E (vs. peer average 15%).

Starting from 2025, Nio has developed **shared technology platform** to reduce BOM cost. For example, it started to adopt in-house NX9031 chip on ET9 and more vehicle models since Apr 2025. It also unified BEV platform, smart driving system and 900V SiC platform across Nio, ONVO, and Firefly brands, which enabled to increase the commonality rate of components. Moreover, Nio enhanced **supply chain management** by conducting centralized procurement on battery, chips and steel to secure favorable pricing through long-term supply agreements.

Therefore, we believe the company is capable of enhancing its vehicle margin to around 20% for Nio brand, 15% for Onvo and 10% for Firefly. In particular, ES9/ES8 could generate 25%+/20%+ vehicle margin thanks to premium positioning and BOM cost optimization per our estimates ([Exhibit 11](#)).

Exhibit 10: 2026E vehicle gross margin

Source: Goldman Sachs Global Investment Research

Exhibit 11: We see the company able to enhance its vehicle margin to around 20% for Nio brand, 15% for ONVO and 10% for Firefly

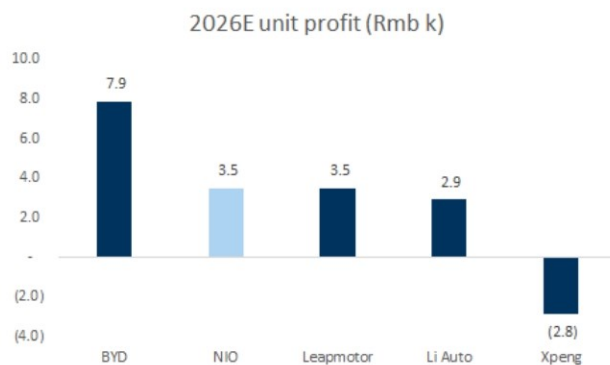
Source: Goldman Sachs Global Investment Research

Net profit and free cash flow: we model Nio to achieve non-GAAP net profit of Rmb1.6bn (vs. loss of Rmb12.4bn in 2025), we also expect free cash flow to meaningfully improve from Rmb-3.1bn in 2025 to Rmb12.1bn in 2026E.

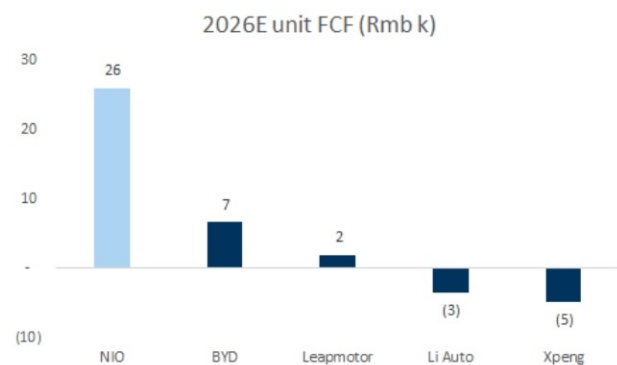
Nio has been focusing on cost reduction through a series of cost control and efficiency improvement measures since 2025: (1) terminated projects that cannot generate

positive ROI (return on investment); (2) established vehicle model product line team to integrate R&D resources of the three brands; (3) improved operational efficiency via integrating functions of logistics, quality control and supply-chain with a c.20% total headcount reduction; (4) streamlined mid and back-end sales teams while maintaining front-line sales personnel.

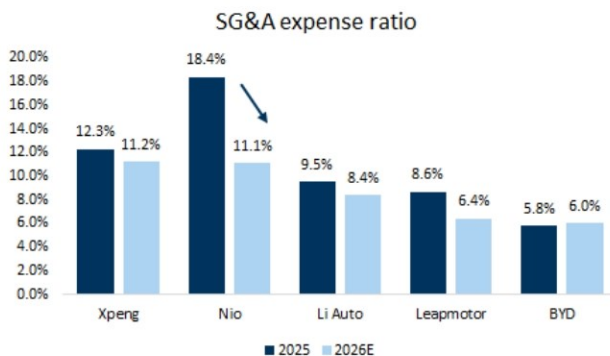
We expect the company to achieve a more efficient SG&A and R&D expense profile post the above efforts, and model a meaningful decline in its SG&A expense to revenue ratio to 11.1% in 2026E (from 18.4% in 2025). At the same time, the company has effectively controlled its R&D expense, and we forecast 7.2% R&D expense to revenue ratio in 2026E (from 12.1% in 2025), lower than peers average at 8.6%.

Exhibit 12: 2026E unit profit

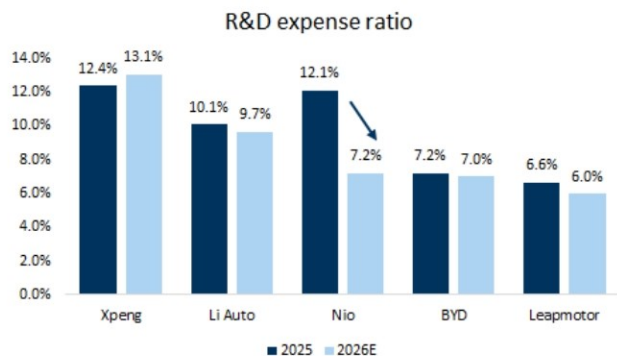
Source: Goldman Sachs Global Investment Research

Exhibit 13: 2026E unit FCF

Source: Goldman Sachs Global Investment Research

Exhibit 14: We model a meaningful decline in its SG&A expense to revenue ratio to 11.1% in 2026E (from 18.4% in 2025)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 15: We forecast 7.2% R&D expense to revenue ratio in 2026E (from 12.1% in 2025), lower than peers average at 8.6%

Source: Company data, Goldman Sachs Global Investment Research

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Exhibit 16: Estimate changes summary

in Rmb mn	2026E	2027E	2028E
Revenue	140,339	163,491	175,745
Previous	139,784	161,776	174,804
vs. Previous	0%	1%	1%
Visible Alpha	135,958	156,426	174,087
vs. Visible Alpha	3%	5%	1%
 Non-GAAP net income	 1,608	 4,264	 5,291
Previous	1,475	4,179	5,219
vs. Previous	9%	2%	1%
Visible Alpha	1,591	2,484	4,457
vs. Visible Alpha	1%	72%	19%

Source: Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Key downside risks:

(1) Lower-than-expected sales volume: if Nio generates lower-than-expected sales volume due to weaker industry demand amidst weak domestic micro environment and lower government subsidy, or supply chain bottlenecks, revenue and gross margin could be lower than our projection;

(2) Exacerbated price competition: if industry price competition becomes worse-than-expected, Nio might need to cut prices or invest in higher promotion expense to ensure sales volume, leading to lower revenue, gross margin, and profitability pressure;

(3) Higher-than-expected cost inflation: if raw material cost grows higher than expected (e.g. lithium, memory), Nio's margin would be negatively impacted, resulting in lower profit.

9866.HK	12m Price Target: HK\$55	Price: HK\$38.66	Upside: 42.3%
NIO	12m Price Target: \$7	Price: \$4.78	Upside: 46.4%

Buy		GS Forecast			
		12/25	12/26E	12/27E	12/28E
Market cap: \$10.9bn	Revenue (Rmb mn) New	87,487.5	140,339.4	163,491.0	175,745.0
Enterprise value: \$6.4bn	Revenue (Rmb mn) Old	87,487.5	139,783.8	161,776.5	174,803.7
3m ADTV :\$193.5mn	EBITDA (Rmb mn)	(6,894.6)	7,873.5	12,007.5	14,108.2
China	EPS (Rmb) New	(5.47)	0.71	1.88	2.33
China Mobility Tech	EPS (Rmb) Old	(5.47)	0.65	1.84	2.30
	P/E (X)	NM	45.8	17.3	13.9
M&A Rank: 3	P/B (X)	19.4	12.8	7.3	4.8
Leases incl. in net debt & EV?: Yes	Dividend yield (%)	0.0	0.0	0.0	0.0
	CROCI (%)	NM	109.2	137.6	92.7
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.02	0.04	0.19	0.40

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Jul 2026 close.

Investment Thesis

Nio is one of the first pure EV start-ups in China and has 3 brands in its portfolio: the Nio brand focuses on the premium BEV segment, the Onvo brand focuses on the mid-end family market, and the Firefly brand focuses on the family-oriented niche boutique market. Among our coverage, we expect Nio to not only deliver one of the fastest volume growth, but also a premium margin profile and strong profit/FCF turn-around in 2026E. This is supported by the company's successful turn-around with the launch of new ES8/ES9 (gaining No.1 position with 39% market share in the Rmb400k+ NEV segment as of 1H26), together with leading brand power (evidenced by top Net Promoter Score), strengthening its position in the premium NEV market, which we believe creates a higher competitive moat and is more difficult to displace by competitors. Looking ahead, we believe the company can apply similar strategy to its 5 series and 6 series models (priced between Rmb200k-400k) and rejuvenate the sales volume of these models in 2027E and beyond, further solidifying its positioning in the premium market and driving continued market share gain. We are Buy rated (ADR/H share). Nio is trading at a discount (P/S) to the peer group, which we see as attractive given its near term product momentum and strong growth. Key risks include lower-than-expected sales volume, more-than-expected price cuts, higher-than-expected cost inflation.

Price Target Risks & Methodology

We are Buy rated with 12m DCF-based (WACC 11.8%, TGR 3.5%) TPs of US\$7.0/HK\$55 for the ADR/H-share; we use an HK\$/USD exchange rate of 7.79 and a CNY/USD exchange rate of 7.15. Key risks include lower-than-expected sales volume, more-than-expected price cuts, higher-than-expected cost inflation.

Disclosure Appendix

Reg AC

We, Tina Hou and Jenny Du, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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GS Factor Profile

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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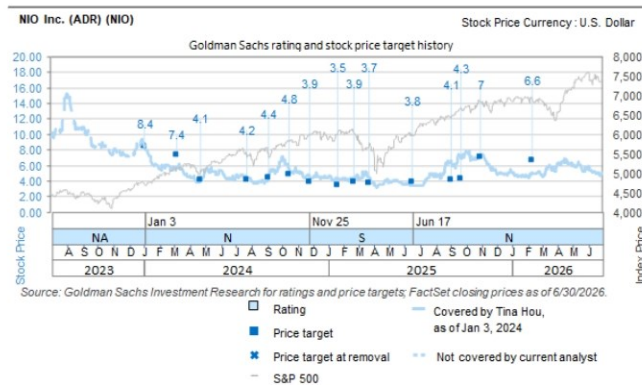
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Goldman Sachs Investment Research global Equity coverage universe

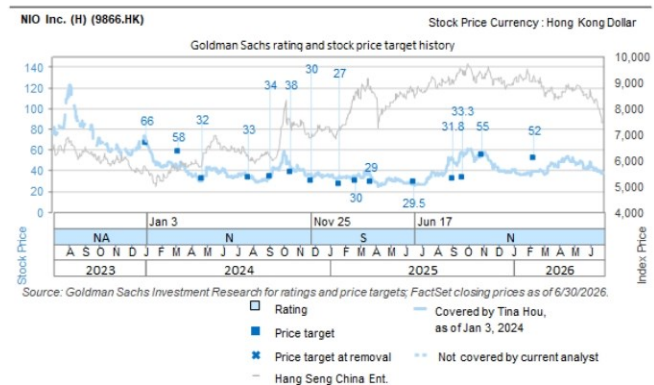
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Target price history table(s)

NIO Inc. (ADR) (NIO)

Date of report	Target price (\$)	Closing price (\$)
12-Feb-26	6.60	4.95
30-Oct-25	7.00	7.01
23-Sep-25	4.30	6.93
03-Sep-25	4.10	6.32
17-Jun-25	3.80	3.44
24-Mar-25	3.70	4.38
21-Feb-25	3.90	4.44
21-Jan-25	3.50	4.18
25-Nov-24	3.90	4.67
16-Oct-24	4.80	5.51
06-Sep-24	4.40	5.02
24-Jul-24	4.20	4.30
22-Apr-24	4.10	4.00
06-Mar-24	7.40	5.77
03-Jan-24	8.40	8.50

NIO Inc. (H) (9866.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
12-Feb-26	52.00	39.46
30-Oct-25	55.00	55.15
23-Sep-25	33.30	53.75
03-Sep-25	31.80	51.55
17-Jun-25	29.50	27.35
24-Mar-25	29.00	34.70
21-Feb-25	30.00	35.30
21-Jan-25	27.00	34.95
25-Nov-24	30.00	37.55
16-Oct-24	38.00	43.80
06-Sep-24	34.00	34.10
24-Jul-24	33.00	34.50
22-Apr-24	32.00	29.65
06-Mar-24	58.00	43.80
03-Jan-24	66.00	65.80

Price targets shown in table(s) are unadjusted for corporate actions.

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